

Before the
FEDERAL MARITIME COMMISSION

Washington, D.C. 20573

Docket No. 23-02

BED BATH & BEYOND INC. v.

ORIENT OVERSEAS CONTAINER LINE LIMITED AND OOCL (EUROPE) LIMITED

**RESPONDENTS' MOTION FOR RECONSIDERATION OR LEAVE TO APPEAL AND
MEMORANDUM IN SUPPORT THEREOF**

MOTION

Respondents Orient Overseas Container Line Limited and OOCL (Europe) Limited (“Respondents” or “OOCL”), by and through their undersigned counsel, hereby move for reconsideration of specific aspects of the Presiding Officer’s Order dated September 28, 2023 (“Order”) or, in the alternative, for leave to appeal pursuant to FMC Rule 221(a), 46 C.F.R. § 502.221(a). Per Rule 221(b), Respondents’ Appeal is appended hereto as Attachment 1.

Respondents do not object to the ultimate dispositions of the two motions addressed in the Order – denial of Complainant’s motion for partial judgment dismissing three of Respondents’ affirmative defenses and grant of Respondent’s motion for a protective order. Rather, what Respondents strenuously object to are certain advisory opinions enunciated in the Order that, as detailed below and in the attached Appeal, are:

- inappropriate and inconsistent with the FMC rules, the Administrative Procedure Act, and procedural due process;
- clearly incorrect as a matter of law;
- prejudicial to Respondents and the public interest; and

- unproductive, in that they present a critical barrier to any possible settlement of the dispute until those matters are resolved by the Commission and the court of appeals.

These advisory opinions prematurely and inappropriately adjudicated core legal issues in this proceeding, and in the process asserted expansive new powers (including, extraordinarily, rate regulatory authority) that clearly have been outside the FMC's authority since 1984 and before. Accordingly, reconsideration of the advisory elements of the Order, or authorization of an interlocutory appeal of those core legal conclusions to the Commission, is necessary and warranted.

MEMORANDUM IN SUPPORT

Interlocutory appeals of orders issued by FMC are governed by Rule 221(a), which states in pertinent part that leave to appeal non-final orders may be granted by the Presiding Officer when necessary “to prevent substantial delay, expense, or detriment to the public interest, or undue prejudice to a party.”¹ Those criteria strongly support granting an interlocutory appeal here, as it is necessary not only to avoid serious prejudice to OOCL, but also to avoid delay and expense, by providing an opportunity to clarify and resolve critical legal issues well before of a final decision by the Commission and court of appeals. In the absence of such an interlocutory appeal, the Parties are likely to face five or more more years of litigation before the Commission and the courts of appeal before any certainty is reached on the legal conclusions offered in *dicta* in the Order. Certification of these issues to the Commission now, would help restore a measure of certainty and

¹ Some examples where the Presiding Officer granted leave to appeal, either on motion or *sua sponte*, may be found at *Intermodal Motor Carriers Conference v. OCEMA*, No. 20-14, 2023 FMC LEXIS 60, 2023 WL 1963455, at *56 (ALJ Feb. 6, 2023); *SSA Terminals LLC v City of Oakland*, No. 09-09, 2010 FMC LEXIS 8, 2010 WL 8367622, at *5 (ALJ Dec. 21, 2010); *Wan Hai Lines, Ltd. – Possible Violations of 46 USC § 41102(c)*, No. 21-16, 2023 WL 1963464, at *1 (FMC Feb. 9, 2023).

clarity regarding the scope of the Shipping Act, not just for this proceeding, but for similar proceedings and disputes and the regulated industry at large.

While the Order ostensibly denied Complainant's motion to strike three of Respondents' affirmative defenses, the additional legal conclusions set out therein effectively gut the substance of those defenses. The net effect is that the Order appears, in effect, to dismiss significant aspects of Respondents' case; the result is akin to a dismissal of Respondent's case before it is even briefed (which would give rise to an automatic right of appeal pursuant to FMC Rule 227(b), 46 CFR § 502.227(b)). Accordingly, the equities weigh strongly in favor of allowing an appeal.

As detailed in the attached Appeal, the only question that was facing the Presiding Officer with respect to Complainant's motion to dismiss three of Respondents' affirmative defenses was whether the pleadings were sufficient to render the defenses plausible under the relaxed standards of *Twombly*. The Order answered that question in the affirmative, and accordingly denied Complainant's motion. However, the Order continued, in *dictum*, to issue advisory opinions on matters that were neither before the Presiding Officer for decision nor fully briefed. In particular, the Presiding Officer stated:

- That the FMC has jurisdiction over the service contract rates of ocean common carriers, despite almost a century of precedent to the contrary, which precedent was left almost entirely unaddressed. And in so doing, the Presiding Officer mistakenly relied on a D.C. Circuit case that had nothing to do either with *ocean common carriers* or with *freight rates*, but instead was about *freight forwarders* and their *fees*. Freight forwarders, of course, do not provide transportation, but rather, offer administrative services for events that occur *before or after* the ocean transportation. As the very case

itself states, the dispute was over “fee arrangements for forwarding *services preliminary to an actual shipment*.” Nor did the Order address the fact that that nearly a century of FMC precedent holds section 41102(c) applies to terminal *and forwarding* activities, but not to the *transportation* function of ocean common carriers.

- That 46 U.S.C. § 40502(f), which Congress added during the original Shipping Act of 1984 and purposefully reaffirmed in the Ocean Shipping Reform Act of 1998, and which provides the courts with exclusive jurisdiction over breach of service contract claims, is essentially meaningless, because it may always be evaded simply through artful pleading – i.e., simply replacing the term “breach of service contract” with the term “violation of 46 U.S.C. § 41104(a)(2).” This advisory opinion is also unequivocally contrary to the Commission’s opinion in *Cargo One, Inc. v. COSCO Container Lines Co., Ltd.*, 2000 WL 1648961 (FMC 2000). The Order discusses *Cargo One*, but omits any mention of the single most important passage in that decision – the legal presumption against jurisdiction over claims that a carrier violated 46 U.S.C. § 41104(a)(2) – even though the precedent was extensively quoted and discussed in Respondents’ responsive brief. Nor does the Order even mention subsequent FMC cases adopting the message of *Cargo One* that 46 U.S.C. § 40502(f) precludes the FMC from hearing service-contract claims alleging violations of 46 U.S.C. § 41104(a)(2).

It is impossible to overstate the significance of these erroneous conclusions on matters of law that are expected to be central to OOCL's defense. Although such erroneous statements are patently *dicta*, as they were in no way necessary, or even useful, to the resolution of Complainant's motion, they will nevertheless effectively control the proceedings until the arguments are presented to the Commission and the courts. Although Respondents will repeat their arguments, in full this time, in their brief (many months hence), these arguments will be primarily for the benefit of the Commission on exceptions, as the Presiding Officer appears to have already communicated what the rulings on those issues will be. Thus, while the Order technically denied Complainant's motion, in effect it granted the motion by preemptively offering conclusions that Respondents' legal arguments will not be meritorious.

The Presiding Officer's advisory opinions are prejudicial to OOCL. The Order has effectively ruled in Complainant's favor on some of Respondent's main defenses, even though the merits of those defenses were not actually ripe for decision, once it was found that the defenses survived under *Twombly*. Moreover, the Presiding Officer reached these conclusions without allowing Respondents a full opportunity to brief the questions, including an opportunity to address the Order's erroneous presentation of Commission and federal court cases, including precedents not addressed in the briefing. They are further prejudicial because they render illusory Respondents' right to address the matter in its brief.

Authorization of an appeal or reconsideration of the Order are in the public interest. The legal conclusions reached in the Order will have impacts well beyond the instant proceeding. Complainant has now filed a nearly identical case against another ocean carrier (Docket No. 23-10), and may bring others as well. The Order thus has the effect of deciding legal issues at the core of multiple proceedings pending before the FMC, and numerous disputes not pending but

potentially before the agency in the future. Allowing an appeal to clarify these foundational legal questions will therefore serve the interest of efficient use of resources for the Commission and litigants in both current and future cases. More broadly, the Order has raised an unprecedented industry-wide question: i.e., does the Federal Maritime Commission now believe that it enjoys a newly-discovered plenary power to impose “reasonableness” standards on *all* aspects of carrier transportation rates and services. Accordingly, the liner shipping sector needs clarity and guidance from the Commission now with regard to the expansive reinterpretation of Shipping Act authorities set out in the Order.

CONCLUSION

For the reasons addressed above, Respondents respectfully request that the Presiding Officer reconsider and withdraw the advisory opinions set forth in the Order, or in the alternative authorize the attached interlocutory appeal to the full Commission to address the issues presented, and grant such other relief as may be just and appropriate.

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Respectfully submitted,



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CERTIFICATE OF SERVICE

I hereby certify that the foregoing pleading was provided to Complainant's counsel of record by email on October 13, 2023.



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